

Tesla, Inc.
TSLA NASDAQ

Hold	\$312.68 ▼ 2.19%	12M Price Target \$340.00	52-Week Range \$297.82 – \$498.83	Market Cap \$1.24T
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TSLA: Q2 Miss Crushes Stock, Margins Keep Shrinking

WHAT HAPPENED

- Stock got hammered ~15% on Wednesday after Q2 earnings — the killer was per-car profit falling another 8%, meaning Tesla is making less money on every vehicle it sells. That's the third straight quarter of margin compression, and Wall Street is now openly worried this is the "new normal" rather than a temporary blip.
- Musk floated a Tesla-SpaceX "merger" on the call but said it "has to be a process" — translation: don't hold your breath. Analysts across the Street slashed price targets, though notably few actually downgraded to Sell — they're stuck between "the numbers are bad" and "you can't short Musk's storytelling."

WHY IT MATTERS

Here's what really matters: the EV tax credit (\$7,500 per vehicle) got killed under the Trump administration's rollback of Biden-era clean energy incentives, and you're seeing it show up directly in Tesla's per-car economics. When you strip subsidies from an already price-competitive market (BYD, Hyundai, GM all undercutting), Tesla either eats the margin hit or loses volume — they're choosing margin hit. The bigger inference: TSLA is no longer really being valued as a car company (169x forward earnings would be insane for GM), it's a bet on robotaxi and Optimus robots — which means the stock trades on Musk's narrative velocity, not fundamentals. Watch for the stock to keep drifting until there's a hard catalyst like actual robotaxi revenue or a formal SpaceX transaction.

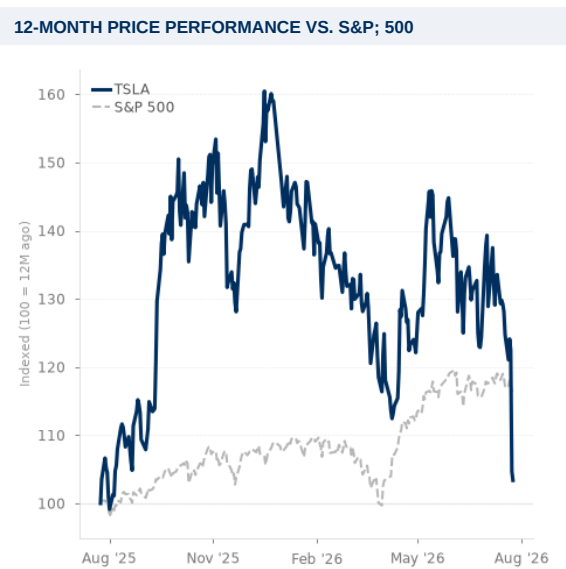
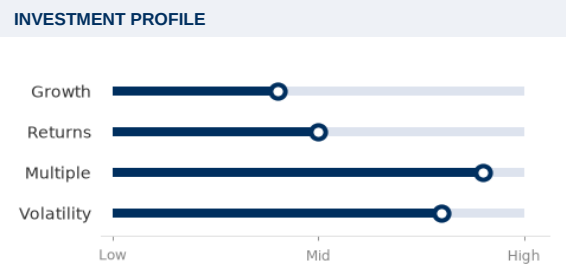
POLICY & POLITICAL WATCH

The big overhang is the expiration of federal EV tax credits under the current administration's energy policy pivot — that's a direct \$7,500-per-car headwind Tesla is absorbing right now. On the flip side, the administration's push for deregulation on autonomous vehicles (federal preemption of state-level self-driving rules is being floated) would be a massive tailwind for robotaxi — if that executive action lands, TSLA could rip. Also watch China tariff talks: Tesla's Shanghai gigafactory exports globally and any retaliation from Beijing (they've hinted at rare earth export controls) hits Tesla's supply chain harder than most people realize.

IS IT EXPENSIVE?

At 169x forward earnings — meaning you're paying \$169 today for every \$1 Tesla is expected to earn next year — this is priced like a hyper-growth tech company, not an automaker growing single digits with shrinking margins. For comparison, GM trades around 5-6x earnings; Tesla is ~30x more expensive on that basis. The only way that math works is if you believe robotaxi and Optimus deliver hundreds of billions in new revenue — a real possibility, but very much unproven, and the current price gives you almost no margin of safety if execution slips.

Key Data	
Price (USD)	\$312.68
12M Price Target	\$340.00
Upside / (Downside)	+8.7%
Market Cap	\$1.24T
FY2026E Revenue	\$102M
FY2027E Revenue	\$118M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	169.0x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$345.00	\$315.00	\$280.00
6 Months	\$400.00	\$330.00	\$250.00
1 Year	\$450.00	\$340.00	\$220.00
2 Years	\$550.00	\$380.00	\$200.00
5 Years	\$800.00	\$450.00	\$180.00
10 Years	\$1200.00	\$600.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+2.2%) and Energy (+0.96%) — rate cut expectations helping REITs, and Middle East tension keeping oil bid. Industrials also quietly strong (+1.8% over 5 days) as reshoring and defense spending narratives hold.

COOLING OFF: Communication Services (-3.8% over 5 days) getting hit alongside broader mega-cap tech rout — Tesla is caught in this crossfire even though it's technically Consumer Discretionary. Growth/momentum names are being sold to fund the rotation.

ROTATION WATCH: Money is moving OUT of expensive growth (Tesla, big tech) and INTO cyclicals, energy, and rate-sensitive names. That's a direct headwind for TSLA — the "buy every dip in mega-cap tech" trade is being questioned for the first time in a while.

RELATED PLAY: If you believe in the AV/robotaxi thesis, the picks-and-shovels play is NVDA (chips power Tesla's FSD) and lidar/sensor names — they win whether Tesla or Waymo dominates.

WHO'S WINNING IN THIS SPACE?

- GM (General Motors): Winning on valuation — cheap stock, profitable ICE business subsidizing EV transition, less exposed to the "story stock" repricing hitting Tesla
- TM (Toyota): Hybrid strategy vindicated as pure-EV demand slows; steady margins while Tesla's compress

TSLA CONTEXT: Tesla is LAGGING its auto peers badly right now — GM is up while TSLA gets crushed on the same day, which tells you this isn't a sector problem, it's a Tesla-specific margin story. Historically when TSLA underperforms legacy auto for 2+ quarters, it either finds a catalyst (new product) or grinds lower — no catalyst visible until robotaxi metrics improve.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$285-300 on further weakness

Time Horizon: 12-24 months

Thesis Invalidation: Auto gross margin drops below 15% or robotaxi rollout delayed past 2027

Hedging: Long legacy auto (GM/F) or short via put spreads